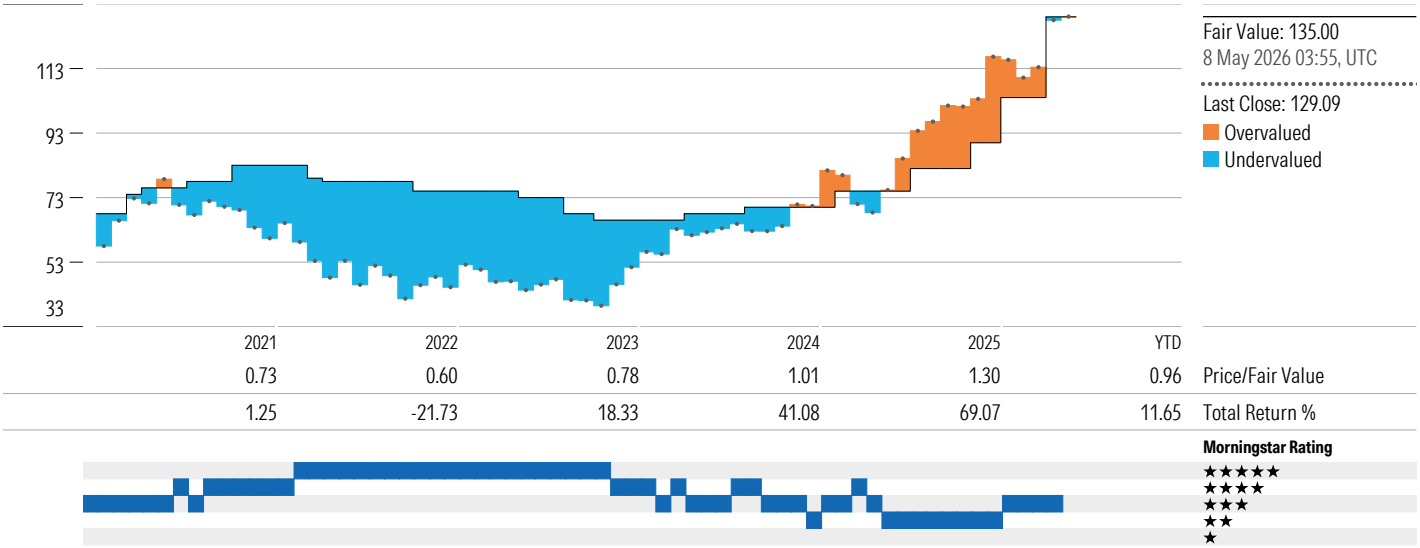
Citigroup Inc C ★★★ 8 May 2026 03:57, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	0.73	0.60	0.78	1.01	1.30	0.96	Price/Fair Value
	1.25	-21.73	18.33	41.08	69.07	11.65	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 07 May 2026. Last Close as of 07 May 2026. Fair Value as of 8 May 2026 03:55, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Citigroup: Ambitious Targets and Hefty Buyback Plan Presented at Investor Day; Shares Fairly Valued

Analyst Note Austin Taggart, CFA, Equity Analyst, 8 May 2026

Citigroup held an investor day on May 7, during which it measured progress made toward targets provided four years ago and unveiled updated goals for the next four years. Share prices increased a little over 1% following the event.

Why it matters: After more than a decade of restructuring attempts following the global financial crisis that fell short of their promises, the new management team has built credibility by exceeding bold targets set during this transformational phase, though the timeline for new milestones appears arduous.

- After generating average returns on tangible common equity of 6.7% from 2011-20, materially below our estimated 10.3% cost of equity, the firm appears poised to meet its goal of 10%-11% for 2026, though updated aspirations to reach the midteens in three to five years are a bit lofty.
- While balance sheet optimization following updated capital requirement proposals partly explains the improved return profile, the larger driver is management planning an 800-basis-point expansion in efficiency ratio within five years, a better result than we are forecasting 10 years out.

The bottom line: After digesting the roadmap and updated projections, we increase our fair value estimate for no-moat Citi to $135 from $129 and view shares as fairly valued.

- Our fair value increase is attributable almost entirely to more constructive revenue forecasts in the

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Sector
Financial Services

Industry
Banks - Diversified

Business Description

Citigroup is a global financial powerhouse that orchestrates the movement of $5 trillion in daily transaction volume, serving as the essential connective tissue for the world's most complex multinational corporations. The firm remains a leader on the global stage, servicing 90% of the Fortune 500 through a proprietary network that includes direct membership to over 270 cash-clearing centers and a footprint that spans 94 countries. After a checkered history operating as an overly complex, disjointed firm, steps have been taken to streamline operations, resulting in organization across five segments: services, markets, banking, wealth, and US personal banking.

services segment, raising our annualized growth estimates to 6.6% from 6.1%, underpinned chiefly by the view that Citi can build further on its 11.6% spending share in treasury & trade solutions.

Coming up: Citi has continually conveyed confidence by regularly repurchasing its stock in bulk, unveiling a fresh $30 billion program after nearly completing last year's $20 billion program.

- While we view this as a more appropriate way to return capital to shareholders than dividend hikes for industries as cyclical as banking, we see this as value-neutral at current share prices.

Business Strategy & Outlook Austin Taggart, CFA, Equity Analyst, 8 May 2026

We view Citigroup's turnaround strategy as appropriate, effectively leveraging the firm's strengths in institutional services while purposefully shedding noncore assets. The firm's business model has evolved significantly, spearheaded by a massive simplification effort, coined "Project Bora Bora," to eliminate five management layers and exit 14 international consumer markets. Similar to Goldman Sachs' consumer banking exit, we believe that discarding capital-intensive operations like Banamex, the final piece of the consumer business carve-out, frees up significant capital for redeployment into more value-accretive business lines. We take a positive view of this organizational simplification and the more focused model around five segments that results.

Management has been vocal about focusing incremental capital toward the services segment, which we undoubtedly view as the crown jewel of the institution. Leveraging a unique history that dates to 1812, the firm utilizes its unmatched global positioning, having direct membership at 270 cash-clearing centers across 94 countries, to cater directly to multinationals and global institutions with a product and service catalog that competitors cannot fully replicate. Composed of the treasury and trade solutions and securities services divisions, each of which maintains top industry rankings, this segment safeguards $32 trillion in assets under custody and facilitates over $6 trillion in daily payments along its rails. By continually reinvesting in cross-border digital solutions, such as integrating Citi Token Services with 24/7 US dollar clearing, the firm ensures its offerings remain best-in-class, deeply embedding the bank into the operations of multinational clients.

Furthermore, the firm has made substantial strides in its multiyear transformation, with over 80% of its risk, control, and data remediation programs at or nearly at the target state. This modernization of infrastructure has already driven and should continue to drive long-term productivity and operational efficiency improvements. Overall, we believe Citigroup's disciplined investment posture and improving execution should continue to bear fruit.

Bulls Say Austin Taggart, CFA, Equity Analyst, 8 May 2026

- Banamex, in which Citi retains 51% ownership, could IPO at a significantly higher value next year than the latest transaction price.
- A strong pick-up in emerging markets could lead to a tailwind for custody servicing, where Citi would

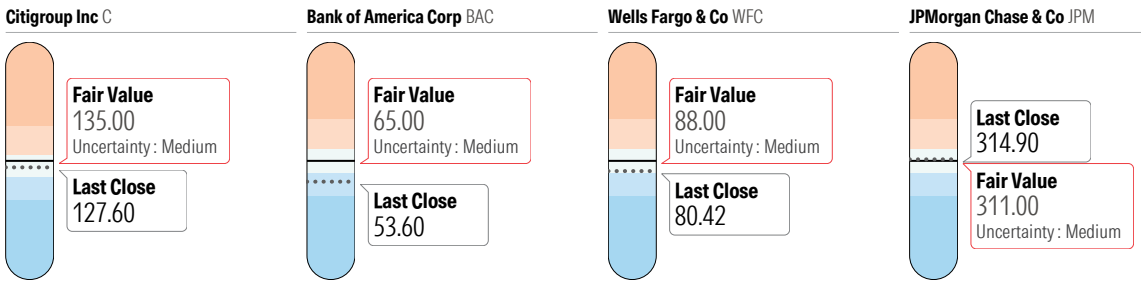
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Competitors



	Citigroup Inc C	Bank of America Corp BAC	Wells Fargo & Co WFC	JPMorgan Chase & Co JPM
Economic Moat	None	Wide	Wide	Wide
Currency	USD	USD	USD	USD
Fair Value	135.00 8 May 2026 03:55, UTC	65.00 6 May 2026 18:30, UTC	88.00 6 May 2026 18:24, UTC	311.00 6 May 2026 18:27, UTC
1-Star Price	182.25	87.75	118.80	419.85
5-Star Price	94.50	45.50	61.60	217.70
Assessment	Fairly Valued 4 May 2026	Undervalued 6 May 2026	Fairly Valued 6 May 2026	Fairly Valued 6 May 2026
Morningstar Rating	★★★8 May 2026 03:57, UTC	★★★★6 May 2026 05:00, UTC	★★★6 May 2026 05:00, UTC	★★★6 May 2026 05:00, UTC
Analyst	Austin Taggart, Equity Analyst	Austin Taggart, Equity Analyst	Austin Taggart, Equity Analyst	Austin Taggart, Equity Analyst
Capital Allocation	Standard	Standard	Standard	Exemplary
Price/Fair Value	0.96	0.82	0.91	1.01
Price/Sales	2.62	3.42	3.01	4.56
Price/Book	1.12	1.35	1.50	2.41
Price/Earning	15.57	12.98	12.33	14.81
Dividend Yield	1.91%	2.11%	2.19%	1.91%
Market Cap	220.18 Bil	374.35 Bil	242.24 Bil	820.65 Bil
52-Week Range	69.65—135.29	40.86—57.55	71.90—97.76	248.83—337.25
Investment Style	Large Value	Large Value	Large Value	Large Value

be one of the strongest beneficiaries.

- A structural shift in the macroeconomic environment may lead to a prolonged, steeper yield curve, providing a tailwind to net interest income.

Bears Say Austin Taggart, CFA, Equity Analyst, 8 May 2026

- If the energy spike from early 2026 leads to persistent stagflation, net charge-offs could spike dramatically for the card-heavy loan book.
- Seismic and persistent geopolitical shifts that favor less global interdependence could dampen treasury and trade solution growth potential.
- Increased future adoption of peer-to-peer cross-border settlement that bypassess traditional banking rails could threaten Citi's TTS business.

Economic Moat Austin Taggart, CFA, Equity Analyst, 8 May 2026

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We do not believe Citigroup has quite carved out an economic moat, which implies we struggle to gain the necessary conviction at present for the firm to materially outearn its 10.25% cost of equity over the next decade. Quantitatively, our view is corroborated by average returns on tangible common equity of 7.4% over the trailing decade. Though we expect these returns to improve to 11.7% over the upcoming decade, we do not believe that this exceeds its 10.25% cost of capital by a wide enough margin to give us the necessary conviction to award Citigroup a moat at this stage. While we've been impressed by the progress that the firm has made in increasingly shedding its legacy as a sprawling, fragmented "financial supermarket," particularly as it pertains to the bolstering of the services segment that we find to be moaty, we believe that there is simply too much uncertainty at present when analyzing the consolidated entity.

Before diving into the segments, we believe it's important to provide some context on the current transformation underway. Citigroup has made strong efforts to dismantle its historically overstretched corporate structure, with the two most notable developments being the compression of 13 management layers down to eight and the divestiture of the international consumer banking franchise. We believe both decisions should result in addition through subtraction, particularly with the divestiture of the international consumer business across the 14 countries in which it was operating. Since making the announcement, Citigroup has fully exited 10 countries, with another three pending closures by year-end, and the final piece of the puzzle is the planned IPO for Banamex, the Mexican consumer bank (fully separated from the local commercial bank) in which Citigroup retains a 51% stake. Beyond the erasure of a structurally unattractive business segment that has materially weighed on the return profile, we estimate, based on the valuation of the sale of a 24% stake in February 2026, that a successful IPO should bestow over $5 billion in fresh equity capital for the firm to redeploy into its more structurally attractive business lines.

Additionally, the Office of the Comptroller of the Currency and the Federal Reserve issued Citigroup regulatory consent orders in 2020 and a follow-on regulatory amendment in 2024 to resolve long-standing, systemic deficiencies in the bank's enterprise-wide risk management, compliance, and data governance. For decades, Citigroup had expanded through massive acquisitions without fully integrating its underlying legacy technology, resulting in a fragmented architecture of disparate data silos that severely limited management's ability to monitor global risk exposure accurately and in real time. After the infamous Revlon incident in August 2020, where a manual data-entry error in an antiquated loan processing system caused the bank to accidentally wire nearly $900 million of its own capital to creditors, the OCC and the Federal Reserve enforced sweeping punitive and structural mandates, headlined by a $400 million civil money penalty and a ban on any significant new acquisitions without prior regulatory approval. Furthermore, the cease-and-desist orders legally mandated a top-to-bottom transformation of the firm's data architecture and risk management frameworks under direct Board oversight, forcing Citigroup to allocate over $12 billion annually to

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technology and infrastructure, sparking a multiyear overhaul to retire thousands of legacy applications and rebuild the bank around a unified, modernized digital core. These orders may end up helping Citigroup in the long run, as the requirement to replace isolated databases with an ISO 20022-native core that now provides the firm with the cleanest internal data dictionary among the money-center banks, enabling full data absorption without needing to translate or truncate into a legacy mainframe.

When analyzing the five segments individually, we do not believe a moat has been carved out in four of them. The markets, banking, wealth, and US personal banking segments have struggled to even meet their cost of capital in most years, let alone exceeding it over the cycle. Looking ahead, we forecast each of the four to continue being capital destructive over the next decade, as we expect average returns on tangible common equity, once including proportionate stakes in the corporate/treasury, of 6.5%, 6.1%, 9.5%, and 8.0% for the markets, banking, wealth, and US personal banking segments, respectively. While we do believe the services segment is moaty when analyzed in isolation, we ultimately believe that the combined size of the four other segments is large enough and the return profiles are capital-destructive enough that we currently struggle to award Citi a moat on a consolidated basis.

The services segment is the “crown jewel” of Citigroup, and the only segment we believe has a moat when analyzed in isolation, underpinned by cost advantages and switching costs. The segment is composed of the securities services and treasury and trade solutions business lines, which provide critical financial infrastructure for multinational corporations and institutional investors, managing $31 trillion in assets under custody and facilitating over $5 trillion in daily payments, forging deep operational "stickiness" with the world’s largest organizations. The scale of Citi’s physical and digital network is second to none: it owns the licenses to local currency clearing systems in 94 countries, over 50% more than the second-largest competitor, and has direct membership in 270-plus cash clearing systems worldwide, over 64% more than the second-closest competitor.

Citi uses the breadth of its global footprint to create a fully “closed-loop network” for its TTS business, which yields cost advantages. When a US bank sends money to a country where it lacks direct membership in a cash-clearing center, it must utilize a correspondent bank with direct membership in that country to execute the last mile of the transaction. Correspondent banks charge fixed intermediary fees and variable, opaque fees, typically hidden within the foreign exchange rate, that together amount to roughly 1.6% of the transaction value (Financial Stability Board). For a multinational corporation that makes just 3,000 global payments at an average size of $50,000 to countries where Citi is the only global bank in town, this implies annual cost savings of up to $2.4 million, enabling Citi to facilitate these payments at a discount to competitors who lack a local presence while still retaining a higher take-rate per transaction. The net effect of this closed-loop network is a lower cost-to-serve for Citi and discernible cost savings for multinational corporations that need to facilitate at least some payments to emerging markets. Considering this, it is no surprise to us that Citi serves 90% of the Global Fortune 500 and has gained over 230 basis points of large corporate client wallet share since 2021.

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Multinational corporate clients who use TTS experience high switching costs as a result of higher data fidelity. After ISO 20022 data formatting became mandated in November 2025, Citi was in rare company as a global bank with an unmatched global footprint and an ISO 20022-native data architecture. This formatting update was quite notable because the legacy Swift Message Type format, dating back to 1977, had a strict character limit and unstructured data, while the new ISO 20022 is a rich, structured, XML file that features a dedicated, infinitely expandable cell for every single piece of data. The strict categorization enhances machine readability, which bolsters the incidence of straight-through-processing for automated compliance and enterprise resource planning systems. While the other money-center banks have produced high-quality, hybrid systems that maintain the MT format legacy and also capture the formatted ISO 20022 fields on their own rails, the increased reliance on correspondent banks for cross-border transactions poses an issue because banks in emerging markets with smaller technology budgets are still reliant on legacy ledger systems that can only process the MT format. To maintain compliance and operate, these banks use “middleware” translators that transform ISO 20022 data into the MT format that the ledger can process and then re-translate it back to ISO 20022 before it is sent out. The issue is that the MT data format was built with a strict 140-character limit, truncating all information beyond that, which is problematic because corporate ERP systems rely on exact, deterministic data matching for automated reconciliation. The net effect is increased “ERP breakage” that requires treasury teams to use costly, manual workflows for reconciliation. To quantify the increased breakage, while corporations anticipate STP rates over 95%, transactions in regions with complex payment ecosystems, such as Latin America and Africa, have rates that drop to around 80%-85% (Strategic Resource Management), which translates to a three- to fourfold increase in “ERP breakage.” Citi’s closed-loop network and ISO 20022-native data infrastructure naturally solves this, as the payments never have to leave its rails in 94 countries, creating near-perfect STP that avoids the pitfalls of manual reconciliation.

Further, we believe Citi enjoys additional switching costs that arise from the benefits of banking consolidation for corporate clients. By consolidating liquidity into a single primary bank, large corporations can negotiate significantly higher earnings credit rates and tiered interest structures on their massive deposit bases, which effectively act as a "soft currency" to offset millions of dollars in annual treasury service fees that would otherwise be paid in hard cash if balances were fragmented. From an operational standpoint, a single-bank ecosystem enables the use of sophisticated multicurrency notional pooling and intraday automated sweeping, allowing the treasury team to net global credit and debit positions in real-time to eliminate expensive external borrowing costs and minimize idle, nonearning cash across disparate subsidiaries. For example, utilizing Citi enables a multinational corporation to offset a EUR 50 million deficit in Germany against a $60 million surplus in the US without moving the physical cash, to avoid cross-border withholding taxes, and e-negotiating the legal and tax frameworks for a new notional pool with a different global bank would require

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prolonged, intensive legal work. Further, multinational corporations often use their lead bank to provide early payment financing to their smaller suppliers, which would trigger the lengthy know your customer and anti-money laundering onboarding for every single one of those suppliers. The sheer administrative friction of reboarding a global supply chain is enough to keep multinational corporations locked into their incumbent bank, as demonstrated by only 2%-3% of annual TTS revenue coming up for rebid each year, and when it does, Citi still wins these contracts more than 90% of the time, implying annual churn rates of roughly 0.25%.

The security services business also enjoys cost advantages over its competitors when servicing assets in emerging markets because other global custodians, like State Street or Northern Trust, do not have their own banking licenses in 94 countries. When they hold a client's Malaysian equities or Brazilian bonds, they must hire a "sub-custodian," often a local bank, and pay them a fee to settle the trades and hold the certificates. Due to Citi operating as the local bank in these emerging markets, the internal “transfer price” for custody is functionally zero, leading to massive cost savings. To illustrate, for a $100 billion emerging market sovereign wealth fund mandate, Citi can underprice a competitor by three to five basis points, saving the client $30-$50 million annually, while still maintaining a better margin profile because it isn’t paying away fees to a third-party subcustodian.

After employing Citi for security services, strong switching costs present themselves in the form of a “data anchor,” where switching providers means migrating the entire legal and historical record of ownership for thousands of securities. For an asset manager, Citi holds the "golden record" for tax cost-basis, historical corporate actions (splits, mergers), and regulatory reporting data. Further, moving a decade of complex accounting data to a new provider like BNY or State Street has a near-zero tolerance for error, as a single misplaced decimal in a tax-lot migration can lead to millions in incorrect tax filings or regulatory breaches.

The net effects of the cost advantages and switching costs within the broader services segment are returns on tangible common equity, even after allocating the proportionate share of the corporate/ treasury segment, of 17.0% over the past five years, which we expect to improve further and underpin our wide-moat segment-level assessment. This segment, currently responsible for roughly 38% of operating income, is the focal point for capital redeployment over the ensuing years, which we believe should propel a materially stronger earnings profile for the consolidated entity as legacy business lines are rolled off and as the services segment becomes an increasingly large percentage of the business mix, growing to comprise 55.6% within the next decade in our forecast.

Shifting gears to the markets segment, which is the institutional trading operation, Citi maintains the third-largest global trading desk, with its status as the industry-leader in foreign trading propelling the second-largest fixed income, currency, and commodities operation (fourth-quarter 2025 earnings presentation). We struggle to award moats to institutional trading businesses when analyzed in a

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vacuum because the increase in capital requirements to support the entire trading desk, post Dodd-Frank regulatory reform, meaningfully chips away at even the higher margins associated with more opaque areas of trading, such as bespoke derivatives or block trades. Even for the largest trading desks, like JPMorgan, Goldman Sachs, and Citi, we do not see evidence of materially outearning the cost of capital over the cycle, though the volatile nature of the return profiles lends itself to occurring over some stretches. The FICC desk directly improves the offering of the TTS business as it manufactures the products that corporate treasurers buy to park their cash, such as Treasury bills, agency-discount notes, and commercial paper. Further, the scale of the operation enables customized, bespoke maturities tailored to unique client needs, such as offering a specific 42-day note to align perfectly with a company's upcoming payroll or tax obligations. The rates desk also improves the securities services business by providing pricing and liquidity for repo transactions, allowing clients to swap high-quality liquid assets, such as government bonds, for immediate cash to meet margin calls or funding needs.

Turning to the banking segment, which is composed of investment banking services, as well as a variety of lending for corporate and commercial clientele, we believe the corporate and commercial lending products function as loss leaders, where corporate loans are extended to customers at very low spreads to begin or deepen relationships that are better monetized in the services segment.

Lastly, looking at the wealth and US consumer card segments in conjunction, we see evidence of some enhancing synergies between sub-business lines in these segments and the services segment, such as the provision of institutional-grade custody and trust infrastructure in the securities services business to ultra-high-net-worth and family office clients in the wealth segment, although we ultimately view these segments as less complementary in aggregate. We ultimately believe that the capital-light nature of the wealth management business enables the possibility that this segment more quickly becomes capital accretive, particularly if it's able to scale beyond a critical threshold that more closely resembles the operations at its money-center peers, though we do not yet forecast that happening in our base case scenario. Further, we believe the US consumer card business is structurally less profitable than its money-center peers due to nearly 86% of spending volume coming from branded cards, which requires Citi to share meaningful portions of the economics with the respective corporate partners. This caps the upside while still presenting a meaningful downside during periods of weak consumer credit quality.

Tying our thoughts together, while we have been impressed by the strides Citi has taken during its most recent turnaround, we ultimately believe there is too much uncertainty and capital tied up in business lines that meaningfully hinder the services segment's ability to propel the consolidated entity.

Fair Value and Profit Drivers Austin Taggart, CFA, Equity Analyst, 8 May 2026

We are raising our fair value estimate for Citigroup to $135 per share from $129 per share, largely due to a more constructive view on the revenue potential of the treasury and trade solutions business,

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Citigroup Inc C ★★★ 8 May 2026 03:57, UTC

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ultimately leading us to raise our forecasts for noninterest income growth over the decade to 5.0%, up from 4.6%. Ultimately, our revised fair value estimate equates to 1.4 times our 2026 projected tangible book value for the bank.

Within treasury and trade solutions, we note that Citi generates both net interest income and noninterest by moving and managing the cash its multinational corporate clients utilize to run sophisticated, global enterprises. Operating as the global leader in this space, we have seen Citi utilize its unique geographic footprint to both grow and deepen customer relationships, evidenced by 170 basis points of wallet share gain since 2022. Despite its position at the top, we believe that Citi is ripe to build further upon the 11.6% of wallet share it currently boasts over the decade to come, leading us to increase our forecast annualized growth rate for the TTS business to 9.4%, up from 8.7%.

In institutional trading, we still struggle to see why revenue should structurally outgrow the broader economy over the long term, though we do note that increased internalization has improved the take-rate for large trading operations across Wall Street, and Citi has continually cemented its status as one of the premier global trading operations, particularly within foreign exchange. After another strong first quarter in 2026 that came in well above our expectations, particularly in equities, we now expect average annual trading revenue growth of 3.8% over the decade to come, still implying a gradual normalization from recently elevated growth rates.

While our forecast for the efficiency ratio remains largely unchanged, we believe it deserves continued attention given the magnitude of its importance to our thesis on the firm. The new management team has continually focused on growing the services segment, redeploying a higher mix of capital freed up during the ongoing transformation to bolster the infrastructure. This segment has particularly strong incremental margins after updating the largely fixed costs associated with the data architecture, which has enabled the segment's profitability to improve more quickly than revenue growth. This, in combination with the segment growing materially faster than other segments, underpins our view that the efficiency ratio can materially improve from the adjusted 63% posted in 2025 to 55% in a decade, as the segment grows from contributing 37.5% of consolidated operating income to 53.9% over the next decade.

Turning to the balance sheet, we view Citi as relatively well positioned to continue growing net interest income during the current rate-cutting cycle. Altogether, we expect net interest income growth of 6.6% in 2026, 3.9% in 2027, and 4.2% in 2028, as the headwinds of rate cuts should be more than offset by earning asset growth as the firm repurposes capital from divested legacy assets and incrementally gathered deposits into its lending and securities portfolios.

Risk and Uncertainty Austin Taggart, CFA, Equity Analyst, 17 Apr 2026

We assign Citigroup a Medium Morningstar Uncertainty Rating, reflective of both our quantitative

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methodology and our qualitative assessment of the firm's relatively diversified business model. While operations at a global bank with $2.8 trillion in total assets serve as a barometer for global economic health, Citigroup's immense scale across its five distinct segments mitigates the volatility of its profitability. This diverse mix, underpinned by a highly capitalized and liquid foundation, provides the through-the-cycle earnings stability that informs our rating.

Consistent with other large, geographically diversified US banks, Citigroup remains sensitive to largely exogenous variables such as economic growth, interest rate changes, and asset price levels. More pressingly, cyclicality in capital markets adds uncertainty to our forecasts for institutional trading and investment banking, as these fee-based segments are heavily beholden to broader investor risk appetite and asset prices.

From an environmental, social, and governance perspective, we view Citigroup's risks as moderate. Operating across nearly 160 countries and jurisdictions, the firm's largest risk is regulatory, as it must navigate complex and sometimes conflicting standards across its vast footprint. Strict compliance with regulatory standards is critical, highlighted by the firm's ongoing multiyear transformation to address 2020 consent orders from the Federal Reserve and OCC regarding its risk and control environment. We view litigation as effectively a cost of doing business in the industry, evidenced by the firm estimating up to $1.2 billion in reasonably possible unaccrued legal losses. We incorporate ongoing litigation expenses in our explicit forecasts. Finally, we believe there is a risk associated with the ability to continually lure and retain top-tier talent, which is essential to maintaining marquee franchises amid intense competition in global financial services.

Capital Allocation Austin Taggart, CFA, Equity Analyst, 17 Apr 2026

We believe that Citigroup warrants a Standard Morningstar Capital Allocation Rating. This reflects our assessment that the firm's balance sheet health is sound, its investment strategy is standard, and its shareholder distribution policies are appropriate.

Considering these in sequence, we believe that Citigroup's balance sheet health is sound. Management has focused on maintaining a highly disciplined approach to capital and liquidity to ensure the firm can weather exogenous shocks and continue to invest in its core franchises. At the end of 2025, Citigroup maintained a common equity Tier 1 ratio of 12.7%, comfortably exceeding its 11.6% regulatory requirement, inclusive of a 3.6% stress capital buffer. While banks naturally operate with a high degree of financial leverage, Citigroup maintains a strong liquidity posture to insulate itself from severe economic downturns. To this end, the firm boasts over $1.0 trillion in available liquidity, including $610 billion in high-quality liquid assets. The firm is more than adequately capitalized relative to its risk exposure, and its conservative funding profile funds its $2.8 trillion balance sheet with nearly $1.5 trillion in deposits to lessen its dependence on more volatile, short-term wholesale funding markets.

Pivoting to investments, we view the company's track record as standard, but structurally improving as

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it executes on its multiyear transformation. Historically, Citigroup struggled with a sprawling, inefficient global footprint. However, we take a highly positive view of the firm's recent strategy to simplify the organization through the exit of 14 international consumer markets. The firm has already made substantial progress on this front, highlighted by the completion of the sale of a 25% equity stake in Banamex and the signing and closing of the sale of AO Citibank in Russia. Altogether, the firm has fully exited 10 of 14 markets, with three additional pending in 2026 and the Banamex IPO as the final piece of the puzzle. Crucially, Citi is redeploying the capital freed from these consumer divestitures into more capital-accretive, higher-returning segments, primarily its marquee services division. We view this allocation quite favorably, as services functions as the synergistic crown jewel of the institution, generating the strongest returns on tangible common equity of any segment. By continually reinvesting in its cross-border digital solutions, cash management, and trade working capital capabilities, the firm ensures its offerings remain best-in-class.

To support this strategic pivot, Citigroup is making significant business-led investments, modernizing its data and technology infrastructure to enhance its digital platforms. This includes utilizing an AI-powered suite of tools to improve operational efficiency and customer self-service rates, retiring over 500 legacy applications during 2025. While these strategic moves are highly encouraging, we maintain a Standard rating until the firm fully completes its regulatory remediation, though it has made notable strides with over 80% of its transformation programs at or nearly at the target state.

Finally, we assess the company's capital return strategy as appropriate. Like most large banks with inherent earnings volatility, Citigroup prefers to return more capital through share repurchases than through dividends, while prioritizing organic investments when attractive opportunities arise. During 2025, the firm took advantage of its depressed valuation to provide shareholders with a net payout ratio of 133%, though the annual average since 2020 is closer to 75%, and we forecast future levels averaging in the range of 65-70%. We expect a balanced distribution strategy of dividends and share repurchases to continue, supported by the firm's ongoing multiyear $20 billion common stock repurchase program. Furthermore, the firm recently increased its quarterly dividend to $0.60 per share, demonstrating management's confidence in the underlying earnings power of the simplified franchise. While we prefer to see banks utilize repurchases opportunistically rather than mechanically, we believe that repurchasing shares at a discount to our fair value estimate is a highly accretive use of excess capital for Citigroup.

Taken together, a sound balance sheet characterized by strong liquidity buffers, a standard investment rating fueled by an ongoing organizational simplification and reinvestment into high-returning services, and appropriate shareholder distributions underpin our Standard rating.

Analyst Notes Archive

Citigroup: Raising our Fair Value Estimate After a Fresh Look; Shares Fairly Valued Austin Taggart,

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CFA,Equity Analyst,14 Apr 2026

We're transferring coverage of Citigroup, a global financial services firm, to a new analyst. The bottom line: We're raising our fair estimate to $122 from $104, while maintaining our no-moat, Medium Uncertainty, and Standard Capital Allocation ratings. Despite not receiving an upgraded economic moat rating, our thesis surrounding Citi has become significantly more positive, as we believe that shedding the international consumer business and increasing focus on the services segment should materially improve its return profile. Our fair value estimate increase was predominantly due to a more constructive view of noninterest revenue growth and operating efficiency, with the services segment, Citigroup's crown jewel, forecast to grow, as a percentage of mix, to roughly 52% over the next decade, up from 38%. Bulls say: While Citigroup lacks the domestic footprint among retail clientele and middle-market firms that its money-center peers profitably enjoy, Citigroup's unmatched global reach enables it to service multinational corporations at a level that few, if any, could duplicate. Citigroup's network breadth is second to none, owning licenses for local currency clearing systems in 94 countries and direct membership in 270-plus cash clearing systems worldwide, representing over 50% and 64% more than the second-closest competitors, respectively. Citi serves 90% of the Global Fortune 500 and has gained more than 230 basis points in large corporate client spending since 2021. Coming up: Citigroup's ongoing simplification initiative has compressed 13 layers of management to eight, in addition to divesting its international consumer banking franchise across all 14 countries in which it operated. After fully exiting 10 countries, with three pending closures in 2026, the final puzzle piece is the planned IPO of Banamex, the Mexican consumer bank, which could yield a capital infusion of more than $5 billion for Citigroup, which retains a 51% stake.

US Banks: Revised Regulatory Proposals Arrive About in Line With Our Expectations Sean Dunlop, CFA,Director,19 Mar 2026

The Federal Reserve released its long-awaited proposals for a few key regulatory measures, including its proposal for the adoption of global Basel III endgame (BSE) standards and revisions to the surplus capital that global systemically important banks, or G-SIBs, must carry. Why it matters: Bank profitability and global competitiveness are heavily dictated by regulation. Results arrived largely as we had expected, with a 4.8% expected net capital reduction for the large banks in our coverage when considering the interplay between the BSE, G-SIB, eSLR, and stress test proposals. Notably, if not unexpectedly, the proposals are harsher on trading activities, which are set to see a 9.2% estimated net capital increase, contrasting sharply with traditional lending (10.6% decline) and credit facilitation (11.8% decline). This points toward the administration's efforts to bring traditional lending, particularly lower-risk lending like mortgages, back into the banking system. The bottom line: Across our large bank coverage, we had largely expected a capital release of this magnitude already, so we don't expect to change our $290, $85, $58, $710, and $104 fair value estimates for wide-moat names JPMorgan, Wells

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Fargo, Bank of America, Goldman Sachs, and no-moat Citigroup, respectively. We do plan to raise our $148 fair value estimate for wide-moat Morgan Stanley to $154, attributable to the lower common equity Tier 1 requirements for which we hadn't yet given the firm full credit. A muted market reaction suggests that it had priced in a capital release of a similar magnitude. Bulls say: We could see upside from here if banks are willing to hold leaner capital buffers following the formalization of these rules. With big banks holding about $190 billion in excess capital, based on the March 19, 2026, proposals, it's feasible that we could see a sharp uptick in lending appetite, particularly in categories that are set to see relief, like mortgages and commercial lending.

US Banking Sector Shares Fall on Macro Concerns and Private Credit Maoyuan Chen,Equity Analyst,23 Feb 2026

Shares of US banks traded down by low-to-mid single digits on Feb. 23, mostly due to macro concerns stemming from tariff uncertainty, possible credit losses from an increase in the unemployment rate driven by artificial intelligence disruption, and private credit-related exposure. Why it matters: Recent tariff announcements have increased uncertainty around the US economic outlook. In addition, the market is concerned that AI disruption could lead to higher layoffs, driving consumer-related credit losses higher. However, our 2026 base case does not assume a recession or a material increase in the unemployment rate. We also view private credit exposure as manageable for most US banks. Median exposure to non-depository financial institutions across banks under our coverage is about 11% of total loans, and asset classes within the NDFI category are diversified, and banks typically maintain internal underwriting limits by industry. We estimate that AI data center-related lending falls within business credit, which represents about 20% of total NDFI exposure across the US banking system. The losses from NDFI lending by US banks have been manageable so far. Subscription line lending and secured real estate lending are the two largest components, both generally carrying relatively low risk profiles. The bottom line: We will maintain our fair value estimates for the US banks under our coverage, and we view the US banking sector as roughly fairly valued following the Feb. 23 selloff. On average, the sector trades at about 1.0 times our fair value estimates. We also think the US banking sector is well capitalized to absorb future credit losses, with most banks maintaining buffers of 150 to 200 basis points or more above their regulatory minimums.

Citigroup Earnings: Could This Time Really Be Different? Targets Look Achievable Sean Dunlop, CFA,Director,15 Jan 2026

Citigroup reported fourth-quarter 2025 earnings, with investors focused on the firm's ongoing transformation and its 2026 outlook.Why it matters: Results were generally strong, and with management reiterating its 2026 targets for a roughly 60% efficiency ratio and returns on tangible common equity approaching 10% to 11%, we believe that it's finally time to give the beleaguered bank credit where credit is due. Our prior forecast had called for an efficiency ratio of 63.3%, so the revision

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is financially material. While it's important that investors do not conflate an excellent operating environment for banks with fundamental progress toward turning around Citi's five core businesses, we see a clear means for management to achieve its near-term targets from here by simply rolling off portions of its transformation spending ($3.3 billion in 2025) and severance expense ($800 million) from the prior year. The bottom line: As we increase our forecasts to align with management's 2026 targets for 5% to 6% net interest income growth, which we view as achievable on the back of strong loan growth across the portfolio, strong deposit growth in the services business, and a 60% efficiency ratio, we've raised our fair value estimate for no-moat Citi to $104 from $90. Looking ahead, we expect the bank to generate five-year compound annual revenue growth of 3.6%, operating profit growth of 7.2%, and diluted EPS growth of 13.4%. More immediately, we expect the firm to achieve the low end of its 10% to 11% ROTCE guidance for the year to come. We're impressed with CEO Jane Fraser's efforts to simplify the business by exiting noncore markets, removing the regulatory overhang of its 2020 consent order, and investing behind efficient capital growth. Returns have improved uniformly, not just in businesses that stand to benefit from operating leverage tied to exogenous factors like trading volume or high asset prices.

Citigroup: Raising Fair Value Estimate to $90 From $82; Shares Fairly Priced Sean Dunlop, CFA,Director,20 Nov 2025

We're transitioning coverage of Citigroup, a large, global bank with significant exposure to corporate services, investment banking and trading, and consumer credit cards, to a new analyst. The bottom line: We're raising our fair value estimate for Citigroup to $90 per share from $82, reflecting a more optimistic outlook for the firm's net interest income growth. We maintain our no-moat rating and overarching thesis for the bank, which has struggled to reinvent itself through a series of largely failed restructuring initiatives. Our 9.2% midcycle ROTCE projection falls below our 10% cost of equity estimate, and we struggle to see the bank outearning its cost of capital through a cycle. Coming up: Our expectations for fee income growth (1.9% compound annual growth through 2034) remain largely unchanged. Altogether, we now expect 3.1% compound annual growth in revenue, 5.2% in operating profit, and 5.7% in net income, up from 2.8%, 4.6%, and 5.0%, respectively. Bulls say: This time is different. The Jane Fraser turnaround has been more comprehensive than prior efforts, and improving results suggest that the bank could eventually hit its 4% to 5% growth and 11% to 12% ROTCE targets. While we concede that results have been improving, the combination of decent credit performance, strong asset price levels, and strong volumes in key fee-based businesses is flattering current results. We'd like to see the bank maintain performance through a market cycle.

Stress-Test Regulatory Changes Slightly Positive for US Banks; 2026 Scenario Also Looks Less Harsh Maoyuan Chen,Equity Analyst,27 Oct 2025

The Federal Reserve released a new proposal for the bank stress-test framework and 2026 stress-test

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scenarios on Oct. 24. Why it matters: The Fed estimated that the new proposal would lower the average stress capital buffer for US banks by 23 basis points, equivalent to 2.2% of current required capital. All else equal, lower required capital supports a higher return on equity. US global systemically important banks are expected to benefit more than the industry average, with an estimated 25-basis-point decline in the SCB. The new stress-test framework also increases transparency as the Fed is now disclosing more details regarding model assumptions that were previously in a "black box." The Fed will also consider banks' feedback before finalizing the scenarios. The bottom line: We will maintain our fair value estimates for US banks under our coverage, as we have already modeled flat to slightly declining common equity Tier 1 ratios for our US bank coverage over the next several years. We believe the US banking system is well capitalized, and the banks have excess capital to return to shareholders via share buybacks. While we view money center banks' share prices as expensive, regional banks' valuations are less demanding, and buybacks at current price levels should be accretive for most regional banks under our coverage. Key stats: The Fed also released the 2026 severely adverse scenario for public comment. We view it as less harsh than the 2025 version, which should benefit stress capital test results in 2026, in addition to the positive impact from the model changes. The 2026 severely adverse scenario includes real gross domestic product declining by 4.8% (2025: negative 7.8%), the unemployment rate rising by 5.5% (2025: 5.9%), and house prices falling by 29% (2025: negative 33%). Partially offsetting this, equity prices drop by 54% (versus 50% in 2025), and commercial real estate prices fall by 40% (versus 30%).

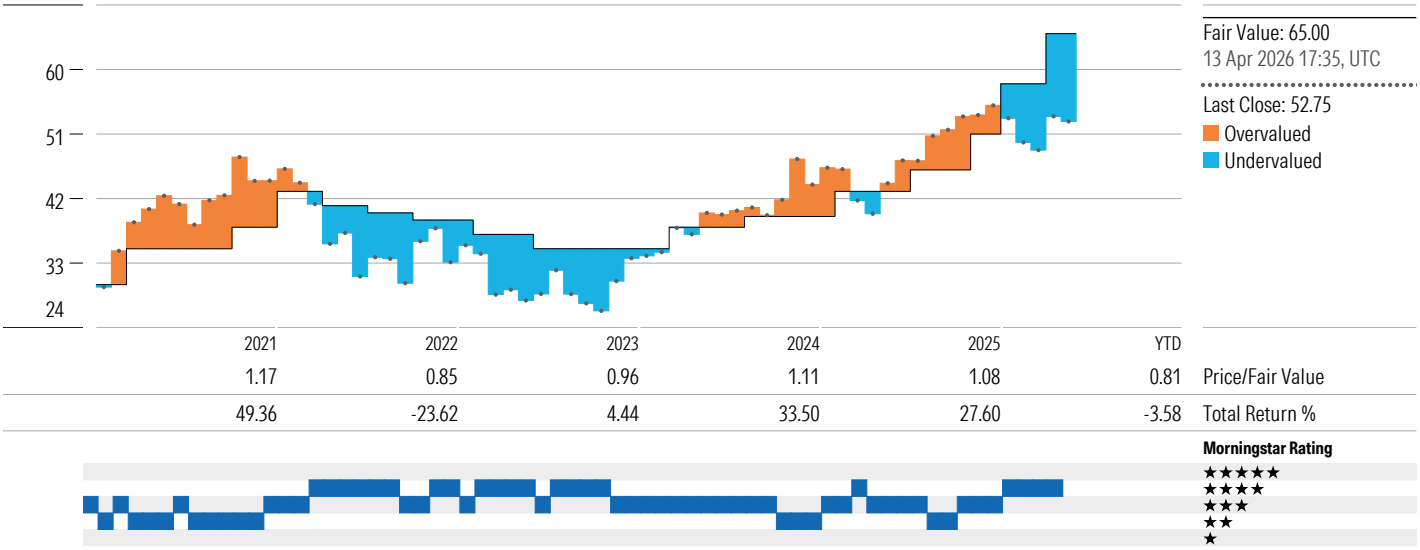
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Competitors Price vs. Fair Value

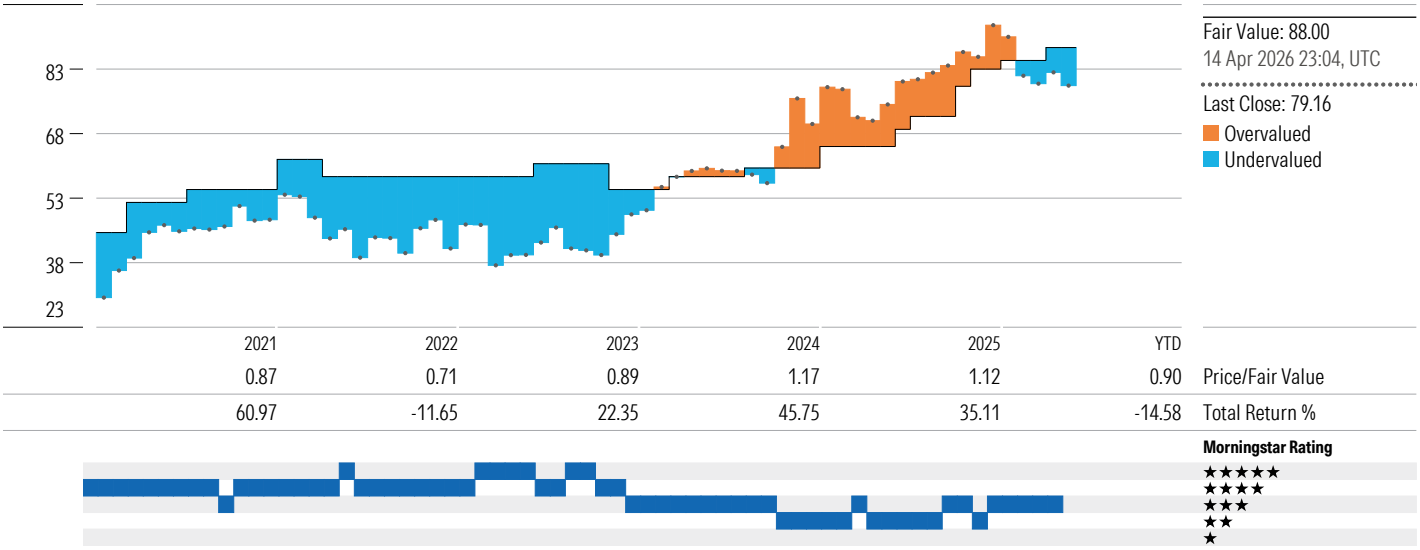
Bank of America Corp BAC



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.17	0.85	0.96	1.11	1.08	0.81
Total Return %	49.36	-23.62	4.44	33.50	27.60	-3.58

Total Return % as of 07 May 2026. Last Close as of 07 May 2026. Fair Value as of 13 Apr 2026 17:35, UTC.

Wells Fargo & Co WFC



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.87	0.71	0.89	1.17	1.12	0.90
Total Return %	60.97	-11.65	22.35	45.75	35.11	-14.58

Total Return % as of 07 May 2026. Last Close as of 07 May 2026. Fair Value as of 14 Apr 2026 23:04, UTC.

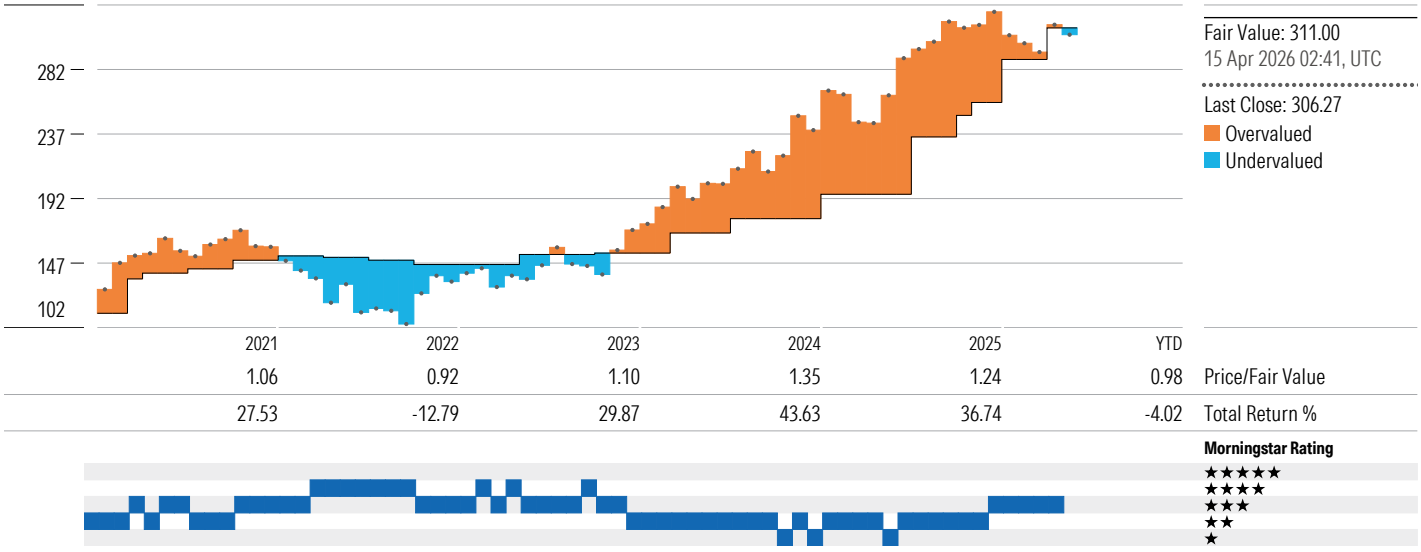
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Citigroup Inc C ★★★ 8 May 2026 03:57, UTC

Competitors Price vs. Fair Value

JPMorgan Chase & Co JPM



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.06	0.92	1.10	1.35	1.24	0.98
Total Return %	27.53	-12.79	29.87	43.63	36.74	-4.02

Total Return % as of 07 May 2026. Last Close as of 07 May 2026. Fair Value as of 15 Apr 2026 02:41, UTC.

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Citigroup Inc C ★★★ 8 May 2026 03:57, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
129.09 USD 7 May 2026	135.00 USD 8 May 2026 03:55, UTC	0.96	220.18 USD Bil 7 May 2026	None	Large Value	Medium	Standard	7 May 2026 05:00, UTC

Morningstar Valuation Model Summary

Financials as of 16 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
Net Interest Income (USD Mil)	54,900	54,095	59,792	63,720	65,619	68,262	71,667	75,032
Non Interest Income (USD Mil)	23,166	26,627	25,433	28,294	29,802	31,163	32,571	32,124
Total Pre-Provision Revenue (USD Mil)	78,066	80,722	85,225	92,013	95,421	99,425	104,237	107,156
Provision for Loan Losses (USD Mil)	9,186	10,109	10,265	10,526	12,095	12,707	13,365	14,006
Operating Expenses (USD Mil)	55,970	53,567	55,132	55,004	55,635	56,726	58,500	59,374
Operating Income (USD Mil)	12,909	17,044	19,825	26,483	27,691	29,992	32,373	33,776
Net Income Available to Common Stockholders (USD Mil)	9,228	12,682	14,306	19,784	20,603	22,311	24,084	25,132
Adjusted Net Income (USD Mil)	7,907	11,532	13,097	18,462	19,327	21,005	22,721	23,714
Weighted Average Diluted Shares Outstanding (Mil)	1,956	1,940	1,873	1,784	1,717	1,652	1,598	1,547
Earnings Per Share (Diluted) (USD)	4.04	5.94	6.99	10.35	11.25	12.72	14.22	15.33
Adjusted Earnings Per Share (Diluted) (USD)	4.04	5.94	6.99	10.35	11.25	12.72	14.22	15.33
Dividends Per Share (USD)	2.08	2.18	2.32	2.47	2.81	2.86	3.55	3.83

Margins & Returns as of 16 Apr 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Net Interest Margin %	2.5	2.4	2.4	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Efficiency Ratio %	67.6	71.7	66.4	64.7	59.8	58.3	57.1	56.1	55.4	57.3
Provision as % of Loans	1.4	1.3	1.5	1.4	1.4	1.4	1.4	1.4	1.4	1.4

Growth & Ratios as of 16 Apr 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Net Interest Income Growth %	7.1	12.8	-1.5	10.5	6.6	3.0	4.0	5.0	4.7	4.7
Non Interest Income Growth %	-1.1	-12.0	14.9	-4.5	11.3	5.3	4.6	4.5	-1.4	4.8
Total Pre-Provision Revenue Growth %	—	4.1	3.4	5.6	8.0	3.7	4.2	4.8	2.8	—
Operating Expenses Growth %	—	9.9	-4.3	2.9	-0.2	1.2	2.0	3.1	1.5	—
Operating Income Growth %	—	-30.3	32.0	16.3	33.6	4.6	8.3	7.9	4.3	—
Net Income Growth %	-1.6	-37.8	37.4	12.8	38.3	4.1	8.3	8.0	4.4	—
Earnings Per Share Growth %	0.0	-42.2	47.0	17.6	48.0	8.8	13.0	11.8	7.8	17.0

Valuation as of 16 Apr 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	12.7	11.9	16.7	12.5	11.5	10.1	9.1	8.4
Price/Book	—	—	—	—	—	—	—	—
Price/Tangible Book	0.6	0.8	1.3	1.3	1.2	1.2	1.1	1.0
Dividend Yield %	3.1	2.0	1.9	1.9	2.2	2.2	2.8	3.0
Dividend Payout %	50.8	36.3	32.9	23.7	24.8	22.3	24.8	24.8

Operating Performance / Profitability as of 16 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	0.4	0.5	0.6	0.7	0.7	0.7	0.8	0.8
ROE %	4.5	6.1	6.8	9.2	9.4	10.0	10.5	10.6
Return on Tangible Equity %	4.9	7.0	7.8	10.8	11.0	11.7	12.3	12.4

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Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
129.09 USD 7 May 2026	135.00 USD 8 May 2026 03:55, UTC	0.96	220.18 USD Bil 7 May 2026	None	Large Value	Medium	Standard	7 May 2026 05:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
Equity/Assets %	8.5	8.9	8.0	7.7	7.5	7.4	7.3	7.3

Forecast Revisions as of	2026		2027		2028	
Prior data as of	Current	Prior	Current	Prior	Current	Prior
Fair Value Estimate Change (Trading Currency)	135.00	—	—	—	—	—
Net Interest Income (USD Mil)	63,720	64,004	65,619	67,156	68,262	69,119
Total Pre-Provision Revenue (USD Mil)	92,013	91,120	95,421	96,664	99,425	99,401
Operating Income (USD Mil)	26,483	25,882	27,691	27,862	29,992	29,781
Net Income (USD Mil)	—	—	—	—	—	—
Earnings Per Share (Diluted) (USD)	10.35	10.05	11.25	11.31	12.72	12.62
Adjusted Earnings Per Share (Diluted) (USD)	10.35	10.05	11.25	11.31	12.72	12.62
Dividends Per Share (USD)	2.47	2.56	2.81	2.83	2.86	2.84

Key Valuation Drivers as of 16 Apr 2026

Cost of Equity %	10.3
Stage II Net Income Growth Rate %	4.1
Stage II Incremental ROIC %	11.4
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 16 Apr 2026

	USD Mil
Present Value Stage I	0
Present Value Stage II	0
Present Value of the Perpetuity	0
Total Common Equity Value before Adjustment	**0**
Other Adjustments	—
Equity Value	**213,562**
Projected Diluted Shares	1,700
Fair Value per Share (USD)	**135.00**

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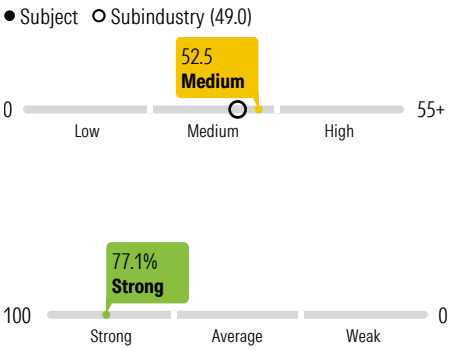
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Citigroup Inc C ★★★ 8 May 2026 03:57, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
129.09 USD 7 May 2026	135.00 USD 8 May 2026 03:55, UTC	0.96	220.18 USD Bil 7 May 2026	None	Large Value	Medium	Standard	7 May 2026 05:00, UTC

ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	52.5
– Manageable Risk	49.0
Unmanageable Risk[2]	**3.5**
Management	
Manageable Risk	49.0
– Managed Risk[3]	37.7
Management Gap[4]	**11.2**
Overall Unmanaged Risk	**14.7**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 77.1% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 07, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Diversified Banks. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 07 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure	Management	ESG Risk Rating
Citigroup Inc	52.5 | Medium (0 – 55+)	77.1 | Strong (100 – 0)	14.7 | Low (0 – 40+)
Bank of America Corp	52.6 | Medium (0 – 55+)	68.1 | Strong (100 – 0)	19.2 | Low (0 – 40+)
Wells Fargo & Co	54.3 | Medium (0 – 55+)	50.1 | Strong (100 – 0)	29.0 | Medium (0 – 40+)
JPMorgan Chase & Co	51.1 | Medium (0 – 55+)	72.4 | Strong (100 – 0)	16.6 | Low (0 – 40+)
Linkbancorp Inc	48.4 | Medium (0 – 55+)	32.9 | Average (100 – 0)	33.5 | High (0 – 40+)

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Appendix

Historical Morningstar Rating

Citigroup Inc C 4 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★	★★	★★	★★★	★★★★	★★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★★	★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★

Bank of America Corp BAC 6 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★	★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★★	★★	★★	★★	★★★	★★	★★★

Wells Fargo & Co WFC 6 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★★	★★★	★★	★★	★★	★★	★★	★★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★

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JPMorgan Chase & Co JPM 6 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★	★★	★	★★	★★	★★	★★	★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★	★★	★★	★★★	★★★	★★	★★★	★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

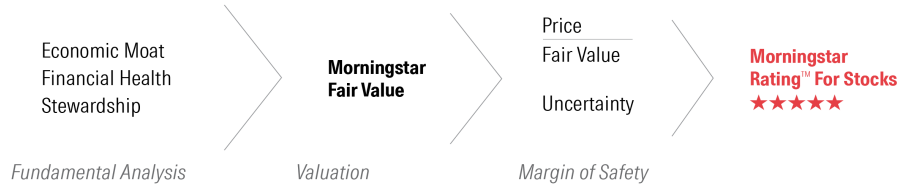
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

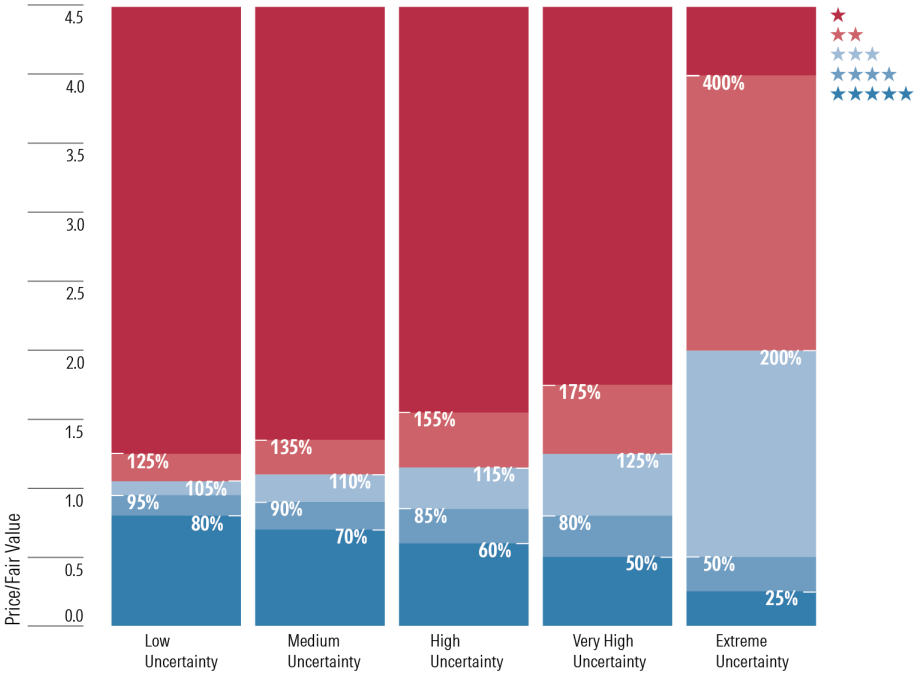
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

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